

21-3c How Changes in Prices Affect the Consumer's Choices

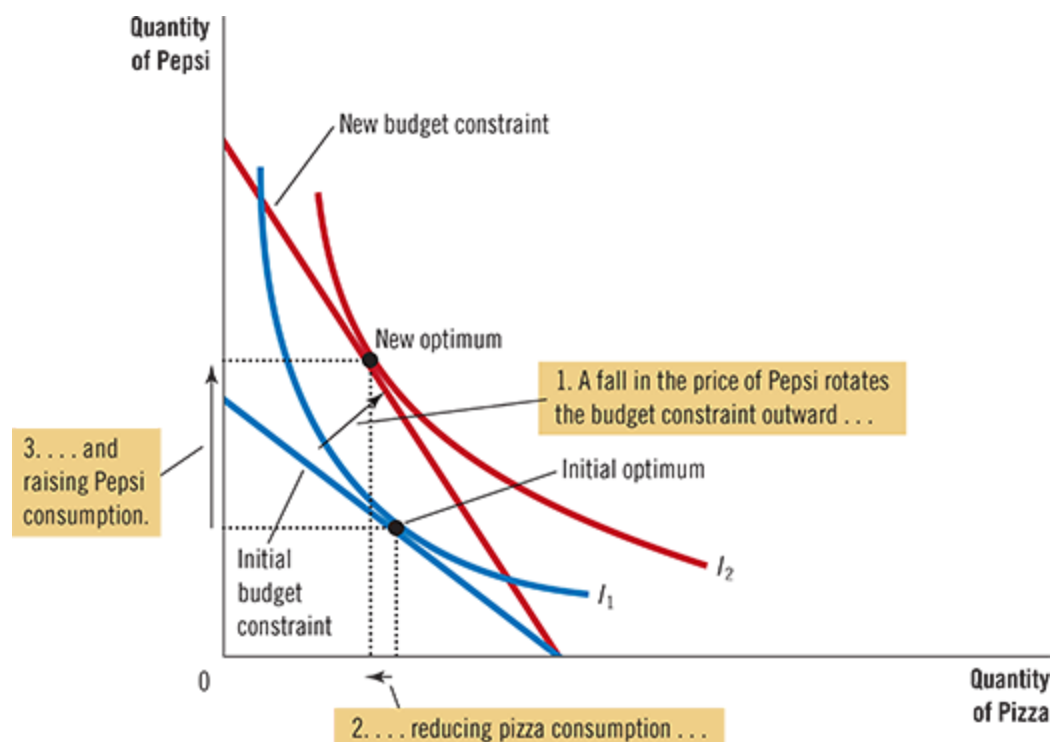
Let's now use this model of consumer choice to consider how a change in the price of one of the goods alters the consumer's choices.

Suppose, in particular, that the price of Pepsi falls. As we discussed earlier, a fall in the price of either good shifts the budget constraint outward and, by changing the relative price of the two goods, changes the slope of the budget constraint as well. [Figure 10](#) shows how the fall in the price of Pepsi rotates the budget constraint and thus changes the consumer's optimum.

Figure 10

A Change in Price

When the price of Pepsi falls, the consumer's budget constraint shifts outward and changes slope. The consumer moves from the initial optimum to the new optimum, which changes her purchases of both pizza and Pepsi. In this case, the quantity of Pepsi consumed rises, and the quantity of pizza consumed falls.



How such a change in the budget constraint alters the quantities of the two goods purchased depends on the consumer's preferences. For the indifference curves drawn in this figure, the consumer buys more Pepsi and less pizza. But it takes only a little creativity

to draw indifference curves with other outcomes. A consumer could plausibly respond to the lower price of Pepsi by buying more of both goods.

Chapter 21: The Theory of Consumer Choice: 21-3c How Changes in Prices Affect the Consumer's Choices

Book Title: WGU Economics

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